Type MS · Profit maximisation and other business aims

Answer 1 of 12 · Question 3 part e · 9 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

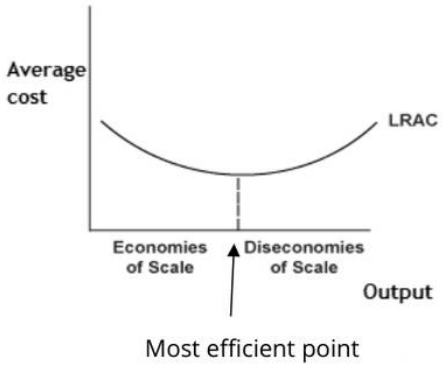
3(a)	**AO1 1 mark** The only correct answer is: **B** To sell a niche product A is not correct because bureaucracy should be reduced C is not correct because risk cannot easily be spread D is not correct because there is less chance of taking over competitors	**(1)**

Question number	The introduction of a minimum wage above the equilibrium wage in a labour market, is most likely to: **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **D** decrease quantity of labour demanded and increase the wage rate A is not correct because employers are less likely to demand labour and the wage rate will be higher than the equilibrium B is not correct because employers are less likely to demand labour C is not correct because the wage rate will be higher than the equilibrium	**(1)**

Type MS · Profit maximisation and other business aims

Answer 1 of 12 · Question 3 part e · 9 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question number	On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for economies of scale labelled Award 1 mark for diseconomies of scale labelled Award 1 mark for point at which firm is most efficient labelled  Most efficient point	(3)

Type MS · Profit maximisation and other business aims

Answer 1 of 12 · Question 3 part e · 9 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why education in Japan may be an external benefit. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • External benefits are positive spillover effects from the production or consumption of a good/service which allow third parties to benefit • Education, such as the system provided in Japan would provide an external benefit to people who do not receive the education themselves • This is because students may do socially useful or highly skilled jobs in the future • Therefore, productivity will be higher and so will the standard of living for society, in a country such as Japan • As a result, future generations may benefit from the consumption of education by others, even if they did not receive (a high standard of) education themselves

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Profit maximisation and other business aims

Answer 1 of 12 · Question 3 part e · 9 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Simona of making these changes. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business aims may include maximising profit, caring for customers, completing charitable work or maximising sales/revenue • Simona prioritises caring for her customers by charging low prices and being flexible with appointment times • This flexibility has led to problems with provision of hairdressing services due to delays and issues getting an appointment • Therefore, demand has reduced and revenue has fallen • This means that Simona has been unable to meet the loan repayments to her bank and may risk her hairdressing business failing • As a result, it may be a good idea to make these changes in order to increase revenue for the hairdressing business • This may help with financial difficulties as well as reduce the late/cancelled appointments **AO4** • However, some customers may visit the hairdressers due to the low prices • The customers may also welcome the flexibility of the services offered, encouraging them to return and giving Simona's business a good reputation • This may mean a price increase and/or fee for late arrivals/cancellations could reduce custom • Therefore, making these changes may lead to further financial problems rather than resolving them • It may be more important to focus on caring for customers by managing appointment times more carefully • As a result, Simona may be able to continue to prioritise caring for customers but at the same time solve some of her financial issues

Type MS · Profit maximisation and other business aims

Answer 1 of 12 · Question 3 part e · 9 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Profit maximisation and other business aims

Answer 1 of 12 · Question 3 part e · 9 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question number	Calculate, to two decimal places, the **percentage change in profit** for the firm between 2020 and 2022. You are advised to show your working. **Answer**	Mark

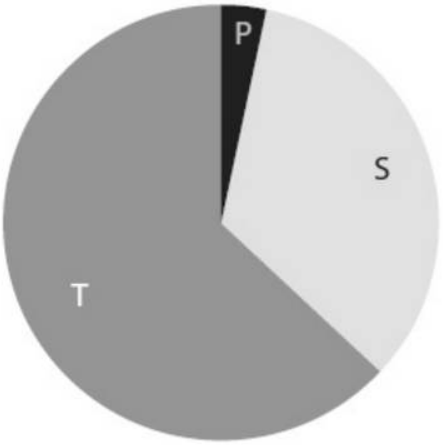
Type MS · Profit maximisation and other business aims

Answer 2 of 12 · Question 2 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO1 1 mark** **C** Maximise profits	**(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** **B** Roads	**(1)**

Question number	Answer	Mark
2(c)	**AO2 3 marks**  Award 1 mark for the Tertiary sector (T) being the biggest **(1)** Award 1 mark for the Secondary sector (S) being the second biggest **(1)** Award 1 mark for the Primary sector (P) being the smallest **(1)**	**(3)**

Type MS · Profit maximisation and other business aims

Answer 2 of 12 · Question 2 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for reference to a person using a common resource they have not paid for A person who takes advantage of a common resource without paying for it	**(1)**

Question number	Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason Congestion causes pollution **(1)** which harms the health of third parties such as pedestrians **(1)** Accept any other appropriate response	**(2)**

Type MS · Profit maximisation and other business aims

Answer 2 of 12 · Question 2 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context of health care • One reason is that there may not be enough doctors available in the public sector to administer the vaccination **(1)** meaning pharmacies in the private sector are needed to help meet the high demand **(1)** if the government is to fulfil its aim of protecting the vulnerable groups **(1)** Accept any other appropriate response	**(3)**

Type MS · Profit maximisation and other business aims

Answer 2 of 12 · Question 2 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Private benefits + external benefits = social benefits • The flu injection is given to the most vulnerable groups because they are more likely to require further healthcare if they became ill from flu • This further healthcare would also be a cost to the UK Government, and so it may be cheaper to prevent the problem with the vaccination in the first place • By reducing the number of people who become ill from the flu, further health care costs may be avoided as there is less risk of the illness spreading • By keeping people healthy, they are more likely to be able to continue working and contribute to the output of the economy **AO4** • The money spent on the vaccinations could be used for other healthcare needs • It may be difficult to distinguish between the groups most in need of the vaccination, so not everyone receives the injection • The vaccination may not work so health care costs may still rise • It is difficult to quantify the costs and external benefits • It depends on other factors whether people become ill

Type MS · Profit maximisation and other business aims

Answer 2 of 12 · Question 2 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Profit maximisation and other business aims

Answer 2 of 12 · Question 2 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Profit maximisation and other business aims

Answer 3 of 12 · Question 1 part i · 6 marks

2020 JAN · Paper 01 · extract 1 of 5 · find part i in this mark scheme extract

1(a)	**AO1 1 mark** **D** 0	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **D** $750 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to amount producers are willing and able to sell and 1 mark for reference to price The quantity of goods or services producers are willing and able to sell **(1)** at a given price/at a given time **(1)**	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Building construction/Car production/Shipbuilding Accept any other appropriate response	**(1)**

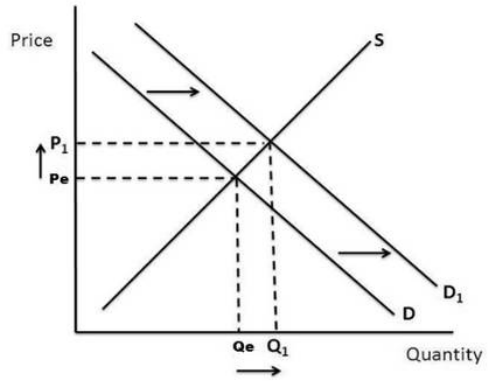
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition The people used in the production of goods and services Accept any other appropriate response	**(1)**

Type MS · Profit maximisation and other business aims

Answer 3 of 12 · Question 1 part i · 6 marks

2020 JAN · Paper 01 · extract 2 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 10 ÷ 25 **(1)** Award 1 mark for correct income elasticity of demand (YED). = 0.4 **(1)** Award 2 marks if YED is correctly calculated as 0.4, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Profit maximisation and other business aims

Answer 3 of 12 · Question 1 part i · 6 marks

2020 JAN · Paper 01 · extract 3 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • The opportunity cost is a new school the government cannot build **(1)** it cannot build the school and the hospital **(1)** because it does not have the resources/money to fund both **(1)** Accept any other appropriate response	**(3)**

Type MS · Profit maximisation and other business aims

Answer 3 of 12 · Question 1 part i · 6 marks

2020 JAN · Paper 01 · extract 4 of 5 · find part i in this mark scheme extract

Question number	Indicative content	
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that firms will want to profit maximise • By matching fundraising of up to $1 000 per employee, McAfee would reduce the profits it can make • It is possible McAfee will attract positive publicity due to its fundraising match programme • This means that consumers may be more likely to buy computer software security from McAfee rather than its competitors • Staff may also be motivated by the programme so staff turnover may reduce/productivity may increase • Therefore McAfee could still make larger profits than if it did not run the programme • McAfee already has a revenue of over $2.5bn so may believe it can afford to be charitable	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Profit maximisation and other business aims

Answer 3 of 12 · Question 1 part i · 6 marks

2020 JAN · Paper 01 · extract 5 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark

Type MS · Profit maximisation and other business aims

Answer 4 of 12 · Question 2 part g · 9 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** **D** Most efficient	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **C** Producer demand for labour to make goods	**(1)**

Type MS · Profit maximisation and other business aims

Answer 4 of 12 · Question 2 part g · 9 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for identifying the fixed costs 40 250 + 10 125 **(1)** Award 1 mark for calculating total fixed costs = 50 375 Rs **(1)** Award 2 marks if total fixed costs are correctly calculated as 50 375 Rs, even if no calculations are shown Award 1 mark if total fixed costs are correctly calculated as 50 375 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to amount willing and able to be purchased and 1 mark for reference to price The quantity of goods/services consumers are willing and able to buy **(1)** at a given price **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the policy and 1 mark for development of the policy Taxation **(1)** to reduce the consumption of a demerit good that is over consumed **(1)** Accept any other appropriate response	**(2)**

Type MS · Profit maximisation and other business aims

Answer 4 of 12 · Question 2 part g · 9 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in the context Irrigation would help the crops to grow **(1)** meaning farmers could grow more crops using the existing resources available **(1)** increasing the output and leading to higher productivity **(1)** Accept any other appropriate response	**(3)**

Type MS · Profit maximisation and other business aims

Answer 4 of 12 · Question 2 part g · 9 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business aims may include maximising profit, caring for customers, completing charitable work or maximising revenue/sales • When they set up the café, Jo and Fiona aimed to help young people in their local area and so making a profit was not their priority • Because there have been complaints about the length of time it takes customers to receive orders, the number of customers may fall • This may mean the sisters are unable to employ as many waiters and waitresses and even go out of business if they do not change the focus of their aims • In addition, the use of more experienced employees may lead to improved productivity and therefore profit could increase • By now focusing on increasing sales or making a profit, Jo and Fiona may be able to increase the number of customers visiting Lanterns which could help it stay in business **AO4** • However, some customers may visit the café because they like the sisters' aim of helping young people in the local area • Therefore if these waiters and waitresses are replaced with experienced employees, Lanterns may lose these customers, meaning the café is unable to stay in business • More experienced employees may demand higher wages and therefore increased costs. As a result this may not lead to increased profits • It may be more important to focus on caring for customers by spending longer training the inexperienced staff • This means Jo and Fiona would still employ young people from the local area but would also be trying to solve the problem of orders taking too long

Type MS · Profit maximisation and other business aims

Answer 4 of 12 · Question 2 part g · 9 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Profit maximisation and other business aims

Answer 4 of 12 · Question 2 part g · 9 marks

2020 NOV · Paper 01 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Profit maximisation and other business aims

Answer 5 of 12 · Question 1 part b · 1 mark

2021 JUN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** A given amount of resources being fully employed A is not correct because this cannot be determined on a PPC B is not correct because a PPC cannot show *how* production can increase C is not correct because a PPC does not show government revenue	**(1)**

Question Number	Which **one** of the following describes this economic assumption? Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **A** Businesses aim to maximise their profit B is not correct because there is no indication of any charitable work taking place C is not correct because consumer behaviour is not described D is not correct because it is not linked to government actions	**(1)**

Question Number	What is meant by the term economies of scale? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to reduced average cost and 1 mark for reference to increased output Average costs of production fall **(1)** as the level of output rises **(1)** Accept any other appropriate response	**(2)**

Type MS · Profit maximisation and other business aims

Answer 5 of 12 · Question 1 part b · 1 mark

2021 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	State **one** example of a factor of production that can be classified as land. Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example • Forest • Rainwater • Coal • Oil Accept any other appropriate response	**(1)**

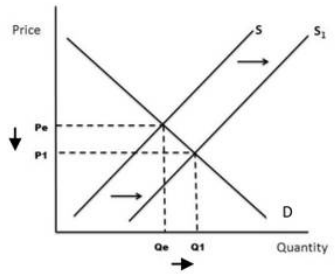
Question Number	Define the term monopoly. Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition One dominant seller in a market Accept any other appropriate response	**(1)**

Question Number	Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working. Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -1.1/1.5 **(1)** Award 1 mark for correct PED = -0.73 **(1)** Award 2 marks if PED is correctly calculated as -0.73, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Profit maximisation and other business aims

Answer 5 of 12 · Question 1 part b · 1 mark

2021 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Using the diagram below, draw the likely effects on the market for cars of the introduction of more effective technology in production. Label the new curve, the new equilibrium price and the new equilibrium quantity. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled 	**(3)**

Question Number	Explain **one** possible effect on the supply of labour of the school-leaving age being raised. Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an effect Award 1 mark for developing the response Award 1 mark for the response being in context • One effect would be a decrease in the supply of labour **(1)** because young people would not be able to be employed full-time until they reached the school-leaving age **(1)** which means only people over 18 in England could contribute to the supply of labour **(1)** Accept any other appropriate response	**(3)**

Type MS · Profit maximisation and other business aims

Answer 5 of 12 · Question 1 part b · 1 mark

2021 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse why Bupa may have decided to operate in a wider range of markets. Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • There are several factors that can affect the growth of firms. One of these is the desire to spread risks • By expanding its product range, Bupa can reduce the risk because it is trading in different markets • This means that if there is a problem in one market (such as health insurance) it has other areas in which it can continue to trade • Therefore the range of services, such as hospital and dental treatment, could help to finance the firm and allow it to continue to be successful, if there are problems in other markets • As Bupa operates in 190 countries, it is likely to encounter uncertainty in the different markets and therefore having a range of services means it is reducing the overall risk to the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Profit maximisation and other business aims

Answer 5 of 12 · Question 1 part b · 1 mark

2021 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Which **one** of the following products has a price inelastic demand? Answer	Mark

Type MS · Profit maximisation and other business aims

Answer 6 of 12 · Question 1 part a · 1 mark

2021 NOV · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** They may complete charitable work A is not correct because this would maximise their profit B is not correct because this may help to maximise their profit C is not correct because this alone does not determine profitability	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **B** A normal good A is not correct because it has nothing to do with YED C is not correct because the YED will be greater than 1 D is not correct because the YED will be negative	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to the amount of output and 1 mark for reference to the input The amount of output produced **(1)** in relation to the resources used **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs	**(1)**

Type MS · Profit maximisation and other business aims

Answer 6 of 12 · Question 1 part a · 1 mark

2021 NOV · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

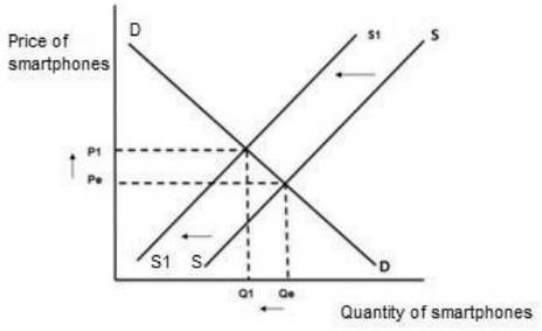
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that supplies goods and services Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 50 000 + (250 x 750) **(1)** Award 1 mark for correct total costs = $237 500 **(1)** Award 2 marks if total costs per month are correctly calculated as $237 500, even if no calculations are shown Award 1 mark if the answer given is 237 500, with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Profit maximisation and other business aims

Answer 6 of 12 · Question 1 part a · 1 mark

2021 NOV · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context • To protect consumer interests **(1)** because firms may charge higher than the 0.8% daily cap **(1)** causing financial harm to consumers **(1)** Accept any other appropriate response	**(3)**

Type MS · Profit maximisation and other business aims

Answer 6 of 12 · Question 1 part a · 1 mark

2021 NOV · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Economies of scale result in falling average costs due to expansion • Technical economies of scale occur when larger firms can make better use of machinery than smaller ones • As Cutting Edge attracted more customers, it received more work that may require use of a powerful saw • This means it was cost-effective to purchase the equipment because the resource could be used a lot more than when Cutting Edge was only asked to cut through a small number of trees • This is because the price of the powerful saw can be spread between more gardening jobs

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Profit maximisation and other business aims

Answer 6 of 12 · Question 1 part a · 1 mark

2021 NOV · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Profit maximisation and other business aims

Answer 7 of 12 · Question 1 part h · 3 marks

2023 JAN · Paper 01 · extract 1 of 6 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** A secondary sector firm A is not correct because a primary sector firm extracts natural resources C is not correct because a tertiary firm produces services D is not correct because this is the tertiary sector	**(1)**

Question number	What is the monthly labour productivity of the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** 50 units A is not correct because this is 540 / 27,000 C is not correct because this is 540 + 27,000 D is not correct because this is 540 x 27,000	**(1)**

Question number	What is meant by the term division of labour? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to breaking production up and 1 mark for reference to employees are allocated only one task When a firm breaks up the production process **(1)** so that employees perform only one task **(1)** Accept any other appropriate response	**(2)**

Type MS · Profit maximisation and other business aims

Answer 7 of 12 · Question 1 part h · 3 marks

2023 JAN · Paper 01 · extract 2 of 6 · find part h in this mark scheme extract

Question number	State one factor of production. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct factor • Land/labour/capital/enterprise	**(1)**

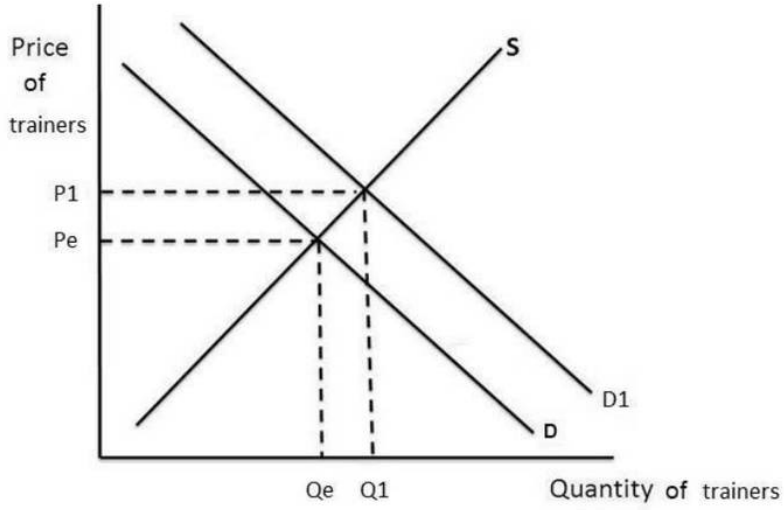
Question number	Define the term public sector. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Government provision of goods/services Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the price elasticity of demand (PED) for Yusef's portraits. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 3.2% / -2.5% **(1)** Award 1 mark for correct PED = -1.28 **(1)** Award 2 marks if PED is correctly calculated as -1.28, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Profit maximisation and other business aims

Answer 7 of 12 · Question 1 part h · 3 marks

2023 JAN · Paper 01 · extract 3 of 6 · find part h in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market after a popular celebrity was seen wearing trainers. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Type MS · Profit maximisation and other business aims

Answer 7 of 12 · Question 1 part h · 3 marks

2023 JAN · Paper 01 · extract 4 of 6 · find part h in this mark scheme extract

Question number	Explain one reason why Spice Cottage may not aim to maximise its profit. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context • A business may have alternative business objectives, such as survival/growth **(1)** by selling at a lower price, Spice Cottage may not maximise revenue and therefore may not maximise profit either **(1)** the business may therefore attract more consumers due to the lower price, which will help the new firm to survive/grow **(1)** Accept any other appropriate response	**(3)**

Type MS · Profit maximisation and other business aims

Answer 7 of 12 · Question 1 part h · 3 marks

2023 JAN · Paper 01 · extract 5 of 6 · find part h in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why this knowledge could be useful to a firm such as Megabus. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • These figures allow Megabus to calculate income elasticity of demand • Bus travel has an income elasticity of -15%/10% = -1.5 • The value of income elasticity is negative and therefore an inferior good • An inferior good is a product or service which has a decrease in quantity demand as incomes increase and increase in quantity demanded as incomes decrease (they have an inverse relationship) • Bus travel is income elastic because the percentage decrease in quantity demanded is greater than the percentage increase in income • This means that if passengers' incomes increase the demand for bus travel will fall but if incomes fall the demand for bus travel will rise • Awareness of this may allow Megabus to reduce/increase the services it offers in Canada, the US or the UK, depending on where incomes change • This could help to reduce costs if there is less demand for bus services • This can also help Megabus to plan employee requirements so it does not incur higher wage costs than necessary

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Profit maximisation and other business aims

Answer 7 of 12 · Question 1 part h · 3 marks

2023 JAN · Paper 01 · extract 6 of 6 · find part h in this mark scheme extract

Question Number	Which one of the following options is the type of market shown in Figure 2? **Answer**	Mark

Type MS · Profit maximisation and other business aims

Answer 8 of 12 · Question 1 part h · 3 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 5 · find part h in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** Inferior good A is not correct because this is purchased by firms to produce other goods which should increase in demand as consumer incomes increase C is not correct because demand would increase as incomes increase D is not correct because as incomes increase, so would demand	**(1)**

Question number	Which **one** of the following equals $1 740? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** Total variable costs A is not correct because price cannot be calculated from the information B is not correct because there is not enough information to calculate revenue and therefore profit C is not correct because the quantity of units produced is needed to do this calculation	**(1)**

Question number	What is meant by the term division of labour? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to splitting up production and 1 mark for reference to tasks Breaking down the production process **(1)** into smaller tasks **(1)** Accept any other appropriate response	**(2)**

Type MS · Profit maximisation and other business aims

Answer 8 of 12 · Question 1 part h · 3 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 5 · find part h in this mark scheme extract

Question number	State **one** reason why a supply curve will shift to the left. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct reason • Rise in the cost of production • Rise in indirect taxes • Fall in subsidies • Natural factors/disasters Accept any other appropriate response	**(1)**

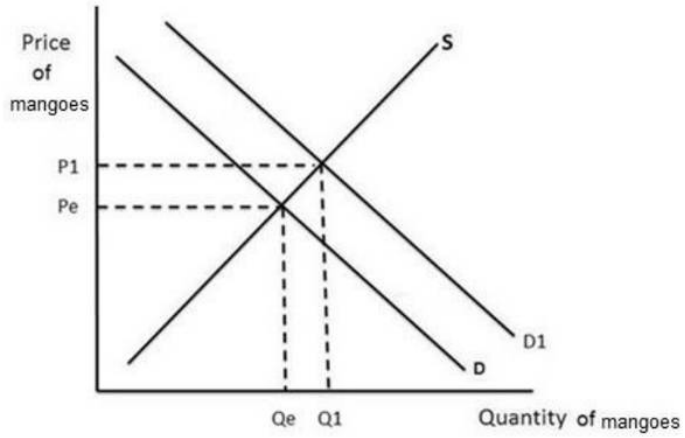
Question number	Define the term competition. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Rivalry that exists between firms Accept any other appropriate response	**(1)**

Question number	Calculate the **total revenue** for the firm when its monthly sales are 250 units. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €75 x 250 **(1)** Award 1 mark for correct total revenue = €18 750 **(1)** Award 2 marks if total revenue is correctly calculated as €18 750, even if no calculations are shown Award 1 mark if the answer given is 18 750 with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Profit maximisation and other business aims

Answer 8 of 12 · Question 1 part h · 3 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 5 · find part h in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for mangoes after a study shows that eating them leads to an improvement in health. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Question number	Explain **one** possible reason why Christine serves large-sized meals. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the response Award 1 mark for the response being in context One reason is that Christine may prioritise caring for customer needs **(1)** because she has gained a positive reputation for serving large-sized meals **(1)** meaning, customers are more likely to remain loyal to her cafe **(1)** Accept any other appropriate response	(3)

Type MS · Profit maximisation and other business aims

Answer 8 of 12 · Question 1 part h · 3 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 5 · find part h in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why there has been this shift in employment in developed countries. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The tertiary sector involves the production of services in the economy • The secondary sector is the production of finished/semi-finished goods from raw materials • As costs of production for manufactured goods decreased in certain parts of the world, it became more difficult for firms in countries such as Germany, the UK and the US to compete • As a result, some firms may have had to cease trading or reduce the number of workers employed • The reduction in jobs in the secondary sector would discourage people from training to do manufacturing jobs • Instead, they are more likely to train in areas such as the tertiary sector, where there is an increasing demand for services, such as entertainment and restaurants due to rising incomes and therefore more employment opportunities in this sector

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Profit maximisation and other business aims

Answer 8 of 12 · Question 1 part h · 3 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 5 · find part h in this mark scheme extract

Question number	Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **Answer**	Mark

Type MS · Profit maximisation and other business aims

Answer 9 of 12 · Question 1 part i · 6 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part i in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** 0 B is not correct because this is price inelastic supply C is not correct because supply is unitary price elasticity D is not correct because this is price elastic supply	**(1)**

Question number	Which **one** of the following is the most likely type of government policy to produce this decrease in costs? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** Increased subsidy A is not correct because this would not lower total costs B is not correct because this would be more likely to increase total costs D is not correct because increased taxation would increase total costs	**(1)**

Question number	What is meant by the term private sector? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Firms owned by individuals or groups **(1)** that provide goods/ services **(1)** Accept any other appropriate response	**(2)**

Type MS · Profit maximisation and other business aims

Answer 9 of 12 · Question 1 part i · 6 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part i in this mark scheme extract

Question number	State **one** factor that may affect the supply of labour. **Answer**	**Mark**
1(d)	**AO1 1 mark** Award 1 mark for correct factor • Population • Migration • Retirement age • School-leaving age • Age distribution of population • Female participation • Skills and qualifications • Ability to move geographic locations • Ability to move to different types of employment Accept any other appropriate response	**(1)**

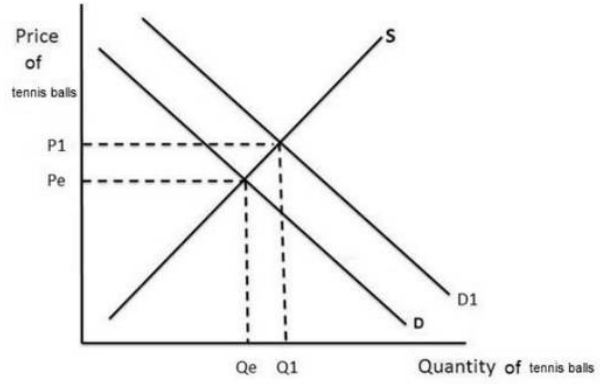
Question number	Define the term government. **Answer**	**Mark**
1(e)	**AO1 1 mark** Award 1 mark for a correct definition • A group with the authority to run a country/state Accept any other appropriate response	**(1)**

Type MS · Profit maximisation and other business aims

Answer 9 of 12 · Question 1 part i · 6 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part i in this mark scheme extract

Question number	Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 6.2% and quantity demanded increases by 1.7%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.7% ÷ 6.2% **(1)** Award 1 mark for correct income elasticity of demand (YED) = 0.27 **(1)** Award 2 marks if YED is correctly calculated as 0.27, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Using the diagram below, draw the likely effects on the market for tennis balls after a fall in the price of tennis rackets. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of demand, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · Profit maximisation and other business aims

Answer 9 of 12 · Question 1 part i · 6 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part i in this mark scheme extract

Question number	Explain **one** possible opportunity cost for the firm of this decision. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is the firm may not be able to buy new machinery **(1)** because it does not have enough money to buy both **(1)** so it has to sacrifice the new machinery when buying the delivery vehicle **(1)** Accept any other appropriate response	**(3)**

Type MS · Profit maximisation and other business aims

Answer 9 of 12 · Question 1 part i · 6 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part i in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse a possible reason why Jags chose not to maximise profit. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that firms will want to profit maximise • By offering a free lunch to children during the school holiday Jags will reduce the profit made by the café • Due to the rising cost of living, customers in the small town may be more likely to visit Jags' café to benefit from a free lunch • Therefore, having aims which prioritise caring for customers may be beneficial to the café's revenue as well • It is possible Jags will attract positive publicity for her café by offering the free meals and enhance her reputation

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Profit maximisation and other business aims

Answer 9 of 12 · Question 1 part i · 6 marks

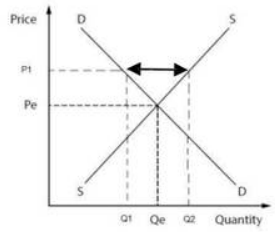
2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part i in this mark scheme extract

Question number	Which **one** of the following diagrams shows excess demand? **Answer**	**Mark**

Type MS · Profit maximisation and other business aims

Answer 10 of 12 · Question 2 part f · 3 marks

2024 JUN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is:  **C** A is not correct because this shows excess demand B is not correct because this shows an increase in supply D is not correct because this shows a movement along the supply curve	**(1)**

Question number	Which **one** of the following is a feature of a monopoly? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** The firm is a price-maker A is not correct because there is only one firm B is not correct because there would only be one firm in a monopoly D is not correct because barriers to entry would be high in a monopoly	**(1)**

Type MS · Profit maximisation and other business aims

Answer 10 of 12 · Question 2 part f · 3 marks

2024 JUN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question number	Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is -1.9 and the price falls by 10%. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation -10% x -1.9 **(1)** Award 1 mark for correct change in quantity demanded = 19% **(1)** Award 2 marks if the change in quantity demanded is correctly calculated as 19%, even if no calculations are shown Award 1 mark if the change in quantity demanded is calculated as 19, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term social benefits? **Answer**	Mark
2(d)	**AO1 1 mark** Award up to 2 marks for a correct definition Private benefits **(1)** plus external benefits **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** feature of an oligopoly. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature Barriers to entry **(1)** therefore fewer firms can enter the market **(1)** OR Different products **(1)** to stand apart from competitors **(1)** Accept any other appropriate response	**(2)**

Type MS · Profit maximisation and other business aims

Answer 10 of 12 · Question 2 part f · 3 marks

2024 JUN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question number	Explain **one** reason why Mostafa may want to offer this discount rather than to maximise profit. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Managers may have the objective of maximising sales **(1)**. Selling at a 10% discount means lower revenue per sale, so the shop may not maximise profit **(1),** but it may result in higher/more sales due to the lower price **(1)** • Managers may have different objectives to owners **(1)** Mostafa may want to maximise sales because it affects his salary **(1)**. The more he sells the higher his salary will be **(1)** Accept any other appropriate response	**(3)**

Type MS · Profit maximisation and other business aims

Answer 10 of 12 · Question 2 part f · 3 marks

2024 JUN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of government regulation when dealing with externalities such as pollution. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Pollution is an example of a negative externality because its effects are felt by those not producing or using the plastic bags • One method of government intervention to reduce negative externalities is the use of regulation • Regulation, such as the ban on single-use plastic bags, will limit the amount of pollution produced and reduce the externalities due to penalties if it is not followed • The ban in Kenya has led to a cleaner environment as the reduced consumption means the visual pollution and danger to livestock is less of a problem • Therefore, the regulation has been quite effective in reducing the negative externality **AO4** • However, the regulation has not solved the problem of pollution in Kenya • It costs money and takes time to monitor any illegal activity, causing an opportunity cost • The effectiveness of the regulation depends on the level of enforcement by the government and cooperation from the public • There are likely to be other problems, aside from plastic bags causing pollution in Kenya, which may need to be addressed by other methods than regulation • Other methods of government intervention may be more effective, such as fines or taxation

Type MS · Profit maximisation and other business aims

Answer 10 of 12 · Question 2 part f · 3 marks

2024 JUN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Profit maximisation and other business aims

Answer 10 of 12 · Question 2 part f · 3 marks

2024 JUN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Question number	An increase in which **one** of the following is most likely to cause a decrease in the supply of labour? **Answer**	**Mark**

Type MS · Profit maximisation and other business aims

Answer 11 of 12 · Question 1 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Production which is obtainable A is not correct because this cannot be determined on a PPC B is not correct because a PPC cannot show how production can be increased C is not correct because a PPC does not show revenue	**(1)**

Question number	Which **one** of the following describes why the firm might do this? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** Producers may complete charitable work A is not correct because producers would not make a profit C is not correct because it is not linked to consumer actions D is not correct because consumer behaviour is not described	**(1)**

Question number	What is meant by the term economies of scale? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Average costs of production fall **(1)** as the firm increases in size **(1)** Accept any other appropriate response	**(2)**

Type MS · Profit maximisation and other business aims

Answer 11 of 12 · Question 1 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question number	State **one** example of an item that can be classified as capital. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Machines • Computers • Factories • Vehicles Accept any other appropriate response	**(1)**

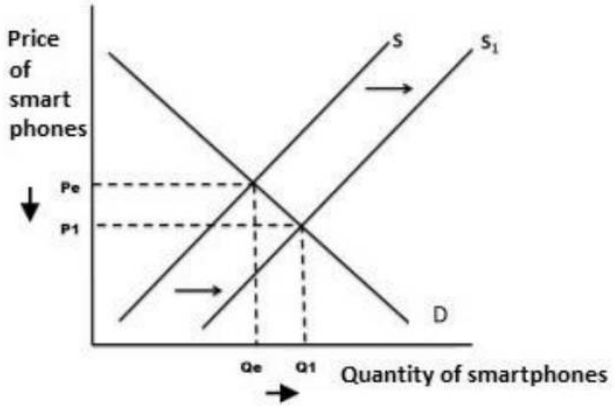
Question number	Define the term price-maker. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A firm is able to set the price charged in the whole market Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.8%/-4.7% **(1)** Award 1 mark for correct PED = -0.38 **(1)** Award 2 marks if PED is correctly calculated as -0.38 even if no calculations are shown Award 1 mark if PED is calculated as -0.38% with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Profit maximisation and other business aims

Answer 11 of 12 · Question 1 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for smartphones following an increase in productivity. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled 	**(3)**

Question number	Explain **one** possible effect of this change in the pension age on the supply of labour. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • One effect would be an increase in the supply of labour **(1)** because fewer people would be able to afford to retire until they reached the retirement age **(1)** meaning more people up to the age of 64 would be available for work **(1)** Accept any other appropriate response	**(3)**

Type MS · Profit maximisation and other business aims

Answer 11 of 12 · Question 1 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the impact of an increase in price on the quantity supplied of avocados. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The diagram shows that the PES of avocados is inelastic • This means that the quantity of avocados supplied is not very responsive to an increase in price • The PES of avocados is inelastic because farmers cannot easily increase the production level even with an increase in price • Avocados take time to grow and are primary/agricultural products. The supply is dependent on factors such as weather/climate. It cannot therefore be easily increased, even if there is an increase in the price consumers are willing and able to pay • It is also not possible to store avocados for a long period because they are perishable and therefore stock cannot be used to increase the quantity of supply, this also makes the PES of avocados inelastic

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Profit maximisation and other business aims

Answer 11 of 12 · Question 1 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question number	Which **one** of the following products has a price elastic demand? **Answer**	**Mark**

Type MS · Profit maximisation and other business aims

Answer 12 of 12 · Question 3 part e · 9 marks

2025 NOV · Paper 01 · extract 1 of 7 · find part e in this mark scheme extract

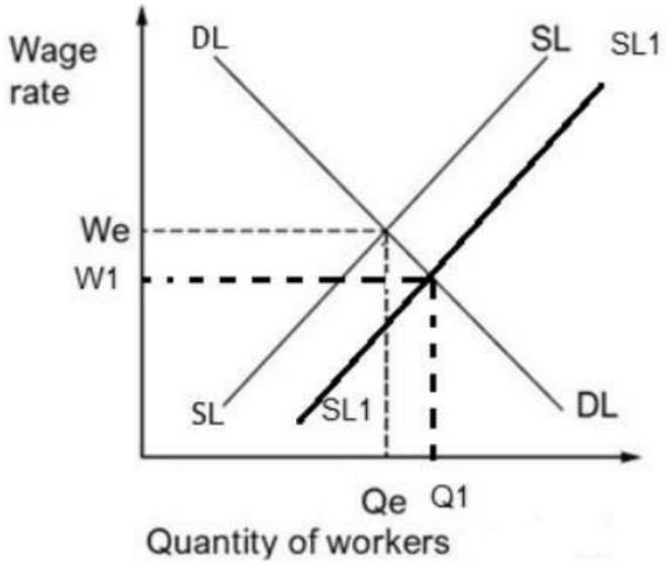
3(a)	**AO1 1 mark** The only correct answer is: **D** Aims of the entrepreneur A is not correct because a small firm is unlikely to have the power to take over any other firm B is not correct because a small firm is likely to have limited sources of finance C is not correct because a small firm cannot spread risk	**(1)**

Question number	Which **one** of the following describes a price elasticity of supply (PES) of 1.5? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** Price elastic A is not correct because this would be 1 B is not correct because this would be 0 D is not correct because this would be less than 1	**(1)**

Type MS · Profit maximisation and other business aims

Answer 12 of 12 · Question 3 part e · 9 marks

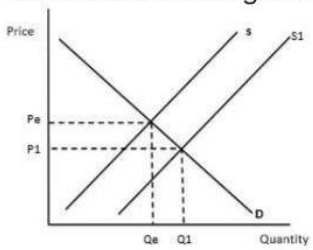
2025 NOV · Paper 01 · extract 2 of 7 · find part e in this mark scheme extract

Question number	Using the diagram below, draw the effect of a decrease in the school-leaving age on the labour market in this country. Label the new curve, the new equilibrium wage rate and the new quantity of workers. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for a rightward shift in the supply of labour, labelled Award 1 mark for a lower equilibrium wage rate, labelled Award 1 mark for a higher quantity of workers, labelled  	(3)

Type MS · Profit maximisation and other business aims

Answer 12 of 12 · Question 3 part e · 9 marks

2025 NOV · Paper 01 · extract 3 of 7 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how natural factors, such as favourable weather conditions, may affect the market for olive oil in 2025. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Possible use of a diagram:  • Natural factors, such as favourable weather could shift the supply curve outwards/to the right (from S to S1) • Favourable weather can increase supply because it can make it easier to grow olives and therefore make it cheaper to produce olive oil • Greece's production was expected to increase by 100,000 tonnes from the previous year in the 2025 season (Qe to Q1) • This will therefore result in a decrease in the price (from Pe to P1) if demand stays the same • This is evident from the expected fall in price of olive oil by at least 50%, from €10 000 per tonne to between €4 000 and €5 000 per tonne

Type MS · Profit maximisation and other business aims

Answer 12 of 12 · Question 3 part e · 9 marks

2025 NOV · Paper 01 · extract 4 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity andorganisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Profit maximisation and other business aims

Answer 12 of 12 · Question 3 part e · 9 marks

2025 NOV · Paper 01 · extract 5 of 7 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Fitnation of offering the discounted price. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Fitnation may have aims that include maximising profit, caring for customers, completing charitable work or maximising revenue/sales • As Fitnation regularly offers discounted entry to city residents, making a profit is not its main aim • Instead, the aim could be described as completing charitable work, meaning the centre is contributing towards benefits for the country • Some people may visit the fitness centre because they like the aim of the business, therefore increasing custom • As a result, the profit of Fitnation may increase as well as an increase in sales due to it completing charitable work **AO4** • However, as fewer facilities are available for members one day a week, some may decide that paying a fee/price of between $25 and $50 is not in their best interests • This is because they cannot make the most of their membership and the money they paid, so they are not able to maximise their benefit • Therefore, the number of members/people paying full price to access the facilities at the fitness centre may decrease • This means that revenue may fall and it may be more difficult for Fitnation to make a profit

Type MS · Profit maximisation and other business aims

Answer 12 of 12 · Question 3 part e · 9 marks

2025 NOV · Paper 01 · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Profit maximisation and other business aims

Answer 12 of 12 · Question 3 part e · 9 marks

2025 NOV · Paper 01 · extract 7 of 7 · find part e in this mark scheme extract

Question number	When the current level of output is 430 units of consumer goods, calculate the **opportunity cost** of producing an additional 80 units of consumer goods. You are advised to show your working. **Answer**	Mark